AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B629
Managing 2: Marketing and Finance

Midterm Examination/Form C

2024-2025 / Spring
8-April-2025

AOU EGYPT

Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 hours

CTIONS:

ke **FIVE (5)** minutes to read all instructions carefully before attempting to write.
obile phones must be in "SWITCHED **OFF**" mode throughout the examination.
is is a **CLOSED** book examination. NO documents of any kind are allowed.
u **MUST** answer the questions using only the answer booklets provided.
u **MUST** return the examination paper together with your answer booklets.
NOT write your answers in pencil except graphs/sketches.
dents are **NOT** allowed to use any type of dictionary or mobile phones during the exami
dents are allowed to use ***non-programmable*** calculators only (if needed).
y form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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YOU HAVE TO ANSWER ALL QUESTIONS IN ESSAY FORMAT.

Note: Kindly adhere to the guidelines provided below each question when answering.

Question 1 Case Study

Technology-Corp recently launched a new smartwatch into a competitive market. The company considered internal factors like production costs and marketing objectives and external factors such as competitors' prices and customer expectations to set its price. The smartwatch is positioned as a premium product, and Technology-Corp initially used market skimming pricing, charging a high price to recover research and development costs. However, heavy competition forced them to consider a market penetration pricing strategy to attract more customers. The company also adopted psychological pricing, setting the price at $199.99 instead of $200 to make the product appear more affordable.

Question 1 (A)

Discuss the factors that influence the company's pricing decisions; for a product like Technology-Corp's smartwatch, what internal and external factors were considered when setting the price? Suggest an alternative pricing strategy and justify how it could address these challenges effectively. (34 Marks)

Answer Guidelines for Question 1 (A) and Marks

To answer effectively, discuss the factors influencing the company's pricing decision (15 marks). Using information from the above case study, identify and explain various factors Technology-Corp considered while setting the price of their smartwatch (10 marks). Propose a suitable pricing strategy that Technology-Corp should use and justify how that will solve the problem effectively (5 marks). Ensure your answer is well-organized, with logical flow and relevance, to earn 4 marks for structure, totaling 34.

Question 1 (B)

Discuss the different pricing strategies and explain how psychological pricing influences customer perception. Discuss whether this strategy is effective for a premium product like Technology-Corp's smartwatch. (33 Marks)

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Answer Guidelines for Question 1 (B) and Marks

To answer effectively, discuss the different pricing strategies (15 marks). Using information from the above case study, explain how psychological pricing influences customers' perception (10 marks). Discuss whether this strategy is effective for a premium product like Technology-Corp's smartwatch (5 marks). Ensure your answer is well-organized, with logical flow and relevance, to earn 3 marks for structure, totaling 33.

Question 2

Targeting and positioning are the two sides of the same coin, working together to ensure the company's message reaches the right ears and resonates deeply. What do you mean by targeting and positioning? Discuss the organization's criteria for effective targeting and explain the four types of targeting strategies and their suitability in different organizational contexts (33 marks).

Answer Guidelines for Question 2 and Marks

To answer effectively, explain the meaning of targeting and positioning (10 marks). Discuss the organization's criteria for effective targeting (10 marks) and explain briefly four types of targeting strategies and their suitability in different organizational contexts (10 marks). Ensure your answer is well-organized, with logical flow and relevance, to earn 3 marks for structure, totaling 33.

END OF EXAM



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